

ARBITRATIONC

LLOYD 123

BETWEEN:

sdsad

[Claimant]

sasd

[Respondent]

Before

asd

Day 26 Aug

Wednesday 6 August 2025

asd

On Behalf of Claimant

asd

On Behalf of Respondent



Q fact

Page	Source Text	Note	Issues
1	look at their pleadings, they concede that the Money Exchange conducted a fraud. They simply debate that is what was -- (overspeaking) -- Q. -- we understand...	-	 Battery
1	Physical difference, as well as philosophical difference - if we might call it that -- is to say: "Well, the elevator was blocked." Respectfully, we submit that that is jus...	-	 Audio
1	Chairman. And with respect to some of those documents relating to the transaction, we don't include those as undisputed facts, we recognise...	-	 Battery
2	states here that the financial statements that were produced by the auditors El Ayouty, and they were falsified and that the Money Exchange misrepresente...	-	 Encryption
2	they do not ever claim that it was legally a separate and distinct entity. We submit, as I said, that's for good reason. Opening submissions by MR IKRAM MR...	-	 Display
2	numbers in the light of everything that happened. So we submit that there's a good reason that while they try to distance themselves from the facts, they don't...	-	 Fingerprint
3	submit that even if you accept: "Their case at face value and the way that they portrayed how it was done, the Money Exchange,	-	 Battery
3	accepted annual dividends and other benefits from the Money Exchange. This is again from Mr Charlton's evidence, where he notes 146 million which is actuall...	-	 Heating
3	the Money Exchange's ostensible profit. The Money Exchange for years subsidised	-	 Audio
3	perpetrated. MR WEBSTER: Is that a life-like representation? MR HEITZMANN: It is not. MR IKRAM: I think it's Mr Bean! PRESIDENT: But we also submit...	-	 Battery  Display
4	statements that they produced and their case is not that the money didn't go to an account held by the Money Exchange, their case is simply that	-	 Heating
4	evidence from KFH's own internal documents that they believed they were dealing with AHAB. Whether or not they were we can dispute with respondent, but...	-	 Fingerprint
4	internal memorandum that proceeded the renewal of the line of credit under the MMA that forms part of the basis of the dispute here. Q. It's also not disputed...	-	 GPS
4	it, and were equally complicit for several reasons. Where we don't have any dispute was that KFH thought it was dealing with the Money Exchange. Th...	-	 Encryption

Q fact

Page	Source Text	Note	Issues
5	attended creditors' meetings and they pursued their claims on the back of the promissory notes in Saudi Arabia. In fact, that forms the basis for one of their...	-	 Fingerprint
5	significance of that, I think, it's fair to say, is disputed, but the language and the ruling itself, we submit, on the record, cannot be in dispute. With that as the...	-	 Encryption
6	their fraud didn't stop with that, that for years they misled lenders like KFH. CHAIRMAN: That's important, because when you refer to that, it might be helpful...	-	 Battery
6	presenting here is the arguments they made at the Cayman Islands court. What they're -- CHAIRMAN: Just to be clear, because that's in the first claim is in fraud...	-	 Display
7	acknowledged and we will certainly get there when we get to the legal details of our claim. What they're discussing here is a resolution -- and this just one of...	-	 Audio
7	adjustments to both the assets and the liabilities and to adopt them to suit the competitive figures for previous years. Now, they note that in cross-...	-	 Lag
7	signed it because the elders, the partners, directed him to. We respectfully submit that blaming the actions on other AHAB partners -- be they decided or...	-	 Keyboard
8	know this, but what value specifically, and then what is the test? Is that subject to English law, in terms of the evidential value of it, or a different law? MR EGGERS:...	-	 Input
8	an international arbitration. We think that by design, the evidentiary standards are looser because there's no danger, for example, of a jury being misled. The...	-	 Display
8	I think the documents themselves that were admitted that respondent was ordered to produce, like any other document, should be afforded the weight that...	-	 Heating
9	the burden of proof on the claims and the elements that must be met certainly are to be adjudged under English law. CHAIRMAN: That is extremely helpful. Ju...	-	 Encryption
9	Thank you. MR EGGERS: Here to that point, we have admissions from Saud Algosaiibi, from his testimony on the stand -- and I would note again not that this is a...	-	 Fingerprint
9	he's asked about the fact that the Money Exchange had substantial borrowings, and that those borrowings were eating up any income that it had. He confirms,...	-	 Fingerprint
10	simply says, "I don't know." That, we say, is an odd posture for one of the principals with an interest in the company. What we thought, despite the attempts to...	-	 GPS
10	no profits to be paying dividends? And he first says: well, I think they do it in many different ways, and he's challenged on that. Then again, he falls back on the...	-	 GPS

Q fact

Page	Source Text	Note	Issues	
10	again comes back to our point that even if you were to accept the case that they put on, what they're essentially telling you is that we were negligent in th...	-	Heating	
11	"Please adjust the books in the way that we've done in the past, and also we authorise you to pay out dividends." That is in a context of a Money Exchange...	-	Encryption	
11	didn't know what it meant? Weren't you curious?" At first his answer is a little difficult to follow, but then he again says: "Well, it's just something my father did in...	-	Display	
11	accounting practices that were put in place the prior year and to produce in the English language what they refer to as the budget in the same method as the pri...	-	Fingerprint	
12	resolutions, they say that it was in fact signed by Suleiman, Yousef and Saud and Mr Al Sanea. Saud didn't recall signing it. However, he again says: if I did...	-	Battery	
12	times over the chief accountants want to get this released and get it done." Unsurprisingly, this factored to a great degree in the Cayman Islands court...	-	Audio	
13	each year by their accountants, El Ayouty. El Ayouty ultimately was a willing participate in this, but at least in the early day I think this was not without protest,...	-	Display	
13	mislead third parties at the same time that they were sucking profits out of the company to their own benefit. This discusses the English language silo for th...	-	Battery	
14	going to talk about that, but just when talk about Mr Badr, Mr Hines mentioned his name earlier. Mr Mark Hayley actually explains who he is in his witness...	-	Audio Battery Cable Display Encryption	Critical Neutral
14	the point, Mr President and members of the tribunal, I'm going to start with the point of which is on the screen, which is the joint engagement of the AHAB...	-	Audio Battery	

Q fact

Page	Source Text	Note	Issues
14	With that, I'm going to turn things over to my colleague Mr Heitzmann who's going to discuss some of the relationship between the Money Exchange...	-	Audio
14	Money Exchange is working independently of the rest of AHAB. Then when you go to the paragraph 119 of his witness statement, he explains that actually, he...	-	Audio Battery Cable Display Critical 
15	AHAB in the same building where Mark Hayley is situated, and he's gathering the information on business activities, performance of AHAB's subsidiari...	-	Audio Battery Cable Display Encryption Critical  Neutral 

Q fact

Page	Source Text	Note	Issues
15	there is coordination between AHAB partners through Mr Badr at least also another person and the other signatory actually of the amendment letter, Mr...	-	Audio Battery Cable Encryption Fingerprint GPS Heating Neutral 
16	there are also other reasons, because sometimes banks actually visit AHAB. They want actually to meet AHAB partners and what is going to do, he's going to...	-	Audio Battery Cable Display Encryption Fingerprint GPS Critical  Neutral 

Q fact

Page	Source Text	Note	Issues
16	can see at the bottom we provide other examples of these visits. On the next slide, you see actually the visitors scheduled, the actual attendance list, and...	-	Audio Battery Cable Display Fingerprint GPS Heating Input Keyboard
17	Dawood, signing many bank of China documents to indicate that they will be confirming the authenticity of the bank documentation. Now, we are going to tal...	-	Encryption Critical 

Q fact

Page	Source Text	Note	Issues
17	Hayley, who's one of the key witnesses of AHAB in the case, he is there until the claimant leaves, and he continues to work throughout until 2016 with AHAB...	-	Audio Battery Cable Display Encryption Fingerprint GPS Heating Input Keyboard Lag
18	examples of employers to Money Exchange co-signed by Suleiman and Saud, but this one is written to KFH a few months later you still have them from Mr...	-	Encryption Heating Critical 
18	Murabaha agreements where AHAB is a guarantor. Now, we see also that KFH's relationship is also with the AHAB partners. KFH is not dealing only with Mark...	-	Encryption Critical 

Q fact

Page	Source Text	Note	Issues
19	discovery of the N files and they started changing their case from everything is forged to now only the facilities that increased the \$2 billion debt after 2000...	-	Encryption Heating Input Critical 

Quick Mark

Page	Source Text	Note	Issues
1	A. I would say not, because if you look at their pleadings, They simply debate that is what was...		 Quick Mark
1	provided falsified financial statements to lenders, including Kuwait Finance House. A. The third undisputed fact is that the Money...		 Quick Mark
2	to the transaction, we don't include those as undisputed And with respect to some of those documents relatin...		 Quick Mark
2	So we submit that there's a good reason that while		 Quick Mark
2	and they were falsified and that the Money Exchange misrepresented the nature of its business.		 Quick Mark
3	dividends and other benefits from the Money Exchange.		 Quick Mark
3	So we would submit that even if you accept:		 Quick Mark
3	out for money from the fraud that they concede		 Quick Mark
4	statements that they produced and their case is not that		 Quick Mark
4	that they believed they were dealing with AHAB.		 Quick Mark
4	authorised it, approved it, and were equally complicit		 Quick Mark
4	accepted on it face, because as we'll go through, we		 Quick Mark
4	Where we don't have any dispute was that KFH thought		 Quick Mark
4	that proceeded the renewal of the line of credit under		 Quick Mark
5	pursued their claims on the back of the promissory notes in Saudi Arabia, in fact, that forms the basis for one...		 Quick Mark

Quick Mark

Page	Source Text	Note	Issues
5	a frolic by Mr Saud, but it is not, we submit, disputed on the record that the account was actually held by the		 Quick Mark
5	disputed issues in this case have very obvious		 Quick Mark
6	CHAIRMAN: Just to be clear, because that's in the first		 Quick Mark
6	with that, that for years they misled lenders like KFH.		 Quick Mark
7	both the assets and the liabilities and to adopt them to		 Quick Mark
7	because the elders, the partners, directed him to.		 Quick Mark
7	What they're discussing here is a resolution -- and		 Quick Mark
8	tribunal believes they are due, based on the provenance document, should be afforded the weight that the...		 Quick Mark
8	MR EGGERS: I think the significance of the evidence is		 Quick Mark
8	there's no danger, for example, of a jury being misled. design, the evidentiary standards are looser because this is an international arbitration. We think that by		 Quick Mark
9	what Mr Algosaibi says, he's asked about the fact that the Money Exchange had substantial borrowings, and that...		 Quick Mark
9	MR EGGERS: Here to that point, we have admissions from Saud Algosaibi, from his testimony on the stand -- and...		 Quick Mark
9	elements that must be met certainly are to be adjudged however, the burden of proof on the claims and the...		 Quick Mark
10	were to accept the case that they put on, what they're operations of our own business. We didn't care what was...		 Quick Mark
10	pay its borrowings? And he simply says, "I don't know." principals with an interest in the company. That, we say, is an odd posture for one of the		 Quick Mark

Quick Mark

Page	Source Text	Note	Issues
10	different ways, and he's challenged on that. Then again, he falls back on the elder AHAB partners		 Quick Mark
10	What we thought, despite the attempts to place this all on the elder partners, is that they actually		 Quick Mark
10	a company that has no profits to be paying dividends? And he first says, well, think they do it many different		 Quick Mark
11	didn't know what it meant? Weren't you curious?" signed this resolution every year. What do you mean you		 Quick Mark
11	no profits. And this happened all the way up and until That is in a context of a Money Exchange that has		 Quick Mark
11	same method as the prior year. English language what they refer to as the budget in the...		 Quick Mark
11	At first his answer is a little difficult to follow,		 Quick Mark
11	"Please adjust the books in the way that we've done see all these resolutions that say:		 Quick Mark
12	the money. say that it was in fact signed by Suleiman, Yousef and Again, in discussing the further resolutions, they...		 Quick Mark
12	"We have uncle, one of the principles there, so many		 Quick Mark
12	released and get it done."		 Quick Mark
13	the Cayman Islands court decisions where they explain in Unsurprisingly, this factored to a great degree in...		 Quick Mark
13	out of the company to their own benefit. practices were intentionally designed to mislead third This discusses the English language silo for the...		 Quick Mark
13	El Ayouty ultimately was a willing participate in		 Quick Mark
13	a catastrophe.		 Quick Mark

Quick Mark

Page	Source Text	Note	Issues
13	still prepared each year by their accountants,		 Quick Mark
16	Mr Mark Hayley actually explains who he is in his witness statement. It's paragraph 117, and he says he has been described as the deputy financial manager of		 Quick Mark
15	his witness statement that the Money Exchange is working Then when you go to the paragraph 119 of his witnes...		 Quick Mark
14	contextualising all of this evidence and noting that the act accordingly." accordingly was not done....		 Quick Mark
14	"I was personally astonished in your attitude towards Mr Al Sanea and whenwhee he ^^ you (^read...		 Quick Mark
14	partners and the employees of the work subdivision, the Money Exchange, and we're going to start with Mark...		 Quick Mark
15	He's the general manager of the Money Exchange and		 Quick Mark
14	We're going to talk about that, but just when talk about Mr Badr, Mr Hines mentioned his name earlier.		 Quick Mark
14	With that, I'm going to turn things over to my		 Quick Mark
16	So he's really at the third floor of AHAB in the performance of AHAB's subsidiaries and all affiliates -- gathering the information on business activities,...		 Quick Mark
15	through Mr Badr at least also another person and the So there is coordination between AHAB partners other signatory actually of the amendment letter,		 Quick Mark
17	You can see at the bottom we provide other examples of these visits. On the next slide, you see actually again other examples at the bottom....		 Quick Mark
17	actually to meet AHAB partners and what is going to do, he's going to coordinate meetings with the banks an...		 Quick Mark
18	throughout until 2016 with AHAB for the proceedings, the So as we see on the next slide, Mr Hayley, who's one...		 Quick Mark
18	documentation. KFH, and here on the screen you see an internal Now, we are going to talk about the engagement with		 Quick Mark

Quick Mark

Page	Source Text	Note	Issues
19	Saud, but this one is written to KFH a few months later you still have them from Mr Suleiman also about the employers to Money Exchange co-signed by Suleima...		 Quick Mark
18	Now, we see also that KFH's relationship is also		 Quick Mark
19	Mark Hayley and the Money Exchange employees. agreements where AHAB is a guarantor.		 Quick Mark
18	So obviously the AHAB partners know that's who is		 Quick Mark
20	Cayman proceedings. There were findings that actually facilities that increased the \$2 billion debt after 2000 So there was a lot of discussion about that in the...		 Quick Mark
20	discovery of the N files and they started changing their		 Quick Mark
20	not alleged to be forged in the Cayman proceedings		 Quick Mark
20	case from everything is forged to now only the		 Quick Mark

01 14:04:03 PROCEEDINGS

02 14:06:28 **PRESIDENT:** Physical difference, as well as philosophical

03 14:06:33 difference -- if we might call it that -- is to say:

04 14:06:35 "Well, the elevator was blocked."

05 14:06:38 Respectfully, we submit that that is just a strange

06 14:06:42 way to disavow the actions of your own company, because

07 14:06:46 if the door was locked, why didn't you order it opened?

08 14:06:49 If you wanted to know what was going on at your own

09 14:06:52 company, why did you simply not ask?

10 14:06:56 A. The third undisputed fact is that the Money Exchange

11 14:07:01 provided falsified financial statements to lenders,

12 14:07:04 including Kuwait Finance House.

13 14:07:08 **PRESIDENT:** Sorry. For the record, when you say "undisputed

14 14:07:10 facts", I think your view is that these cannot be

15 14:07:12 disputed on claimant's case, because respondent does

16 14:07:15 dispute those. Is that my understanding?

17 14:07:19 A. I would say not, because if you look at their pleadings,

18 14:07:21 they concede that the Money Exchange conducted a fraud.

19 14:07:24 They simply debate that is what was -- (overspeaking) --

20 14:07:27 **Q. -- we understand the position, but just to be clear,**

21 14:07:29 because also some of the exhibits, especially the

22 14:07:31 resolution and the contract, some of them challenge the

23 14:07:34 documents provided by the parties. We'll hear from them

24 14:07:37 on that?

25 14:07:39 A. Certainly, Mr Chairman.

01 14:07:40 And with respect to some of those documents relating

02 14:07:42 to the transaction, we don't include those as undisputed

03 14:07:45 facts, we recognise they're disputed, we're really

04 14:07:47 pointing to things that, for example, they've put in

05 14:07:50 this in their own evidence.

06 14:07:52 **CHAIRMAN:** Thank you.

07 14:07:53 **MR HINES:** I think also you said that was an undisputed

08 14:07:57 fact, but that is a disputed fact.

09 14:07:59 **MR WEBSTER:** They claim that it was, but they do not ever

10 14:08:02 claim that it was legally a separate and distinct

11 14:08:05 entity.

12 14:08:08 We submit, as I said, that's for good reason.

13 14:08:11 Opening submissions by MR IKRAM

14 14:08:13 **MR IKRAM:** It is pretty clear that it is not, however.

15 14:08:16 There is testimony from Mr Charlton, who we'll hear

16 14:08:19 from tomorrow, that was submitted in the Cayman Islands'

17 14:08:22 proceedings, and he states here that the financial

18 14:08:28 statements that were produced by the auditors El Ayouty,

19 14:08:31 and they were falsified and that the Money Exchange

20 14:08:36 misrepresented the nature of its business.

21 14:08:40 And as we'll see, it's really very difficult for

22 14:08:45 them to dispute that the financial statements are false

23 14:08:48 when you look at the numbers in the light of everything

24 14:08:51 that happened.

25 14:08:51 So we submit that there's a good reason that while

01 14:08:54 they try to distance themselves from the facts, they
02 14:08:57 don't dispute the facts themselves.
03 14:09:01 The fourth is that AHAB's partners accepted annual
04 14:09:05 dividends and other benefits from the Money Exchange.
05 14:09:10 This is again from Mr Charlton's evidence, where he
06 14:09:14 notes 146 million which is actually in loans to AHAB and
07 14:09:20 its partners and nearly 100 million in dividends derived
08 14:09:24 from what he describes as the Money Exchange's
09 14:09:27 ostensible profit.
10 14:09:30 The Money Exchange for years subsidised the AHAB
11 14:09:42 partners' lavish lifestyle by paying their bills and
12 14:09:45 wages. This is an extract from Yousef Algosaibi's
13 14:09:50 testimony from the transcripts that respondent was
14 14:09:53 recently ordered to produce.
15 14:09:57 **So we would submit that even if you accept:**
16 14:09:59 "Their case at face value and the way that they
17 14:10:02 portrayed how it was done, the Money Exchange, for the
18 14:10:06 most part, and the best that you can conclude."
19 14:10:08 Is effectively this, that for years the AHAB
20 14:10:11 partners stuck their head in the sand and their hands
21 14:10:14 out for money from the fraud that they concede
22 14:10:18 Mr Al Sanea perpetrated.
23 14:10:22 **MR WEBSTER:** Is that a life-like representation?
24 14:10:26 **MR HEITZMANN:** It is not.
25 14:10:29 **MR IKRAM:** I think it's Mr Bean!

01 14:10:31 **PRESIDENT:** But we also submit that that case should not be
02 14:10:33 accepted on its face, because as we'll go through, we
03 14:10:37 believe and we think the evidence shows clearly, that
04 14:10:39 the AHAB partners knew exactly what was going on,
05 14:10:43 authorised it, approved it, and were equally complicit
06 14:10:45 for several reasons.
07 14:10:55 Where we don't have any dispute was that KFH thought
08 14:10:58 it was dealing with the Money Exchange. They state that
09 14:11:02 we were not and again, we've engaged that issue and
10 14:11:06 we're disputing that, but there really is no getting
11 14:11:09 around the evidence from KFH's own internal documents
12 14:11:12 that they believed they were dealing with AHAB.
13 14:11:17 Whether or not they were we can dispute with
14 14:11:20 respondent, but certainly that was their belief?
15 14:11:23 A. We see here two excerpts from an internal memorandum
16 14:11:27 that preceded the renewal of the line of credit under
17 14:11:31 the MMA that forms part of the basis of the dispute
18 14:11:35 here.
19 14:11:38 **Q. It's also not disputed that KFH wired \$40 million to an**
20 14:11:43 **account that was held by the Money Exchange.**
21 14:11:45 **Again, their name is right on the documents. These**
22 14:11:50 **are the SWIFT transactions. These are the bank**
23 14:11:53 **statements that they produced and their case is not that**
24 14:11:57 **the money didn't go to an account held by the Money**
25 14:12:00 **Exchange, their case is simply that** that was.

01 14:12:03 Really, AHAB's account is that it was essentially

02 14:12:06 a frolic by Mr Saud, but it is not, we submit, disputed

03 14:12:12 on the record that the account was actually held by the

04 14:12:16 Money Exchange, in name?

05 14:12:20 A. It's also not disputed that AHAB has not given that

06 14:12:24 money back.

07 14:12:29 (2.12 pm)

08 14:12:32 (Short break)

09 14:12:34 (2.13 pm)

10 14:13:07 **MR EGGERS:** They attended creditors' meetings and they

11 14:13:09 pursued their claims on the back of the promissory notes

12 14:13:14 in Saudi Arabia. In fact, that forms the basis for one

13 14:13:16 of their admissibility defences.

14 14:13:20 So the fact that KFH has been chasing this debt for

15 14:13:23 a long time is not seriously disputed either.

16 14:13:29 It's not in dispute that the court, when rejecting

17 14:13:32 their claim, said that it was without prejudice to their

18 14:13:36 ability to bring it, that their claim would not lapse

19 14:13:39 simply by virtue of the denial.

20 14:13:41 Again, the significance of that, I think, it's fair

21 14:13:43 to say, is disputed, but the language and the ruling

22 14:13:48 itself, we submit, on the record, cannot be in dispute.

23 14:13:55 With that as the backdrop, we think that many of the

24 14:13:58 disputed issues in this case have very obvious

25 14:14:02 resolutions.

01 14:14:11 Now, I want to note now I want to note the following
02 14:14:13 again and again I want to note the following. Typing in
03 14:14:13 some extra lines to see if everything is working okay.

04 14:14:13 Following this presentation of what we think should
05 14:14:16 not be in dispute, that though AHAB denies it was
06 14:14:20 complicit in the fraud, then it is from the respondent's
07 14:14:29 own evidence, that what they're presenting here is the
08 14:14:34 arguments they made at the Cayman Islands court.

09 14:14:37 What they're --

10 14:14:39 **CHAIRMAN:** Just to be clear, because that's in the first

11 14:14:41 claim is in fraud on the conspiracy. The fraud you're

12 14:14:45 referring to is the falsified statements, as we

13 14:14:49 understand.

14 14:14:50 **MR EGGERS:** There are, I think, two components.

15 14:14:52 Yes, the gravamen of the claim is the falsified
16 14:14:55 financial statements and the reliance induced. But part
17 14:14:59 of our fraud claim is also that their fraud didn't stop

18 14:15:03 with that, that for years they misled lenders like KFH.

19 14:15:10 **CHAIRMAN:** That's important, because when you refer to that,

20 14:15:12 it might be helpful because we're going to also hear

21 14:15:14 from them on that.

22 14:15:15 When you address that, what is exactly the elements

23 14:15:17 of fraud you're relying on and when did you know about

24 14:15:21 that in that sense? Because that also goes to the

25 14:15:24 limitation defence that you're claiming on your

01 14:15:25 counterclaim.

02 14:15:27 **MR EGGERS:** Yes, Mr Chairman. We acknowledged and we will

03 14:15:30 certainly get there when we get to the legal details of

04 14:15:33 our claim.

05 14:15:38 What they're discussing here is a resolution -- and

06 14:15:40 this just one of many -- that specifically directs the

07 14:15:45 falsification of the financial statements. It's

08 14:15:48 capitalisation of interest on the loan, but in addition

09 14:15:51 it's the preparation of English language statements for

10 14:15:55 the purposes of showing third parties.

11 14:15:59 They refer here to making cutting adjustments to

12 14:16:02 both the assets and the liabilities and to adopt them to

13 14:16:06 suit the competitive figures for previous years.

14 14:16:09 Now, they note that in cross-examination, Yousef

15 14:16:13 Alghosaibi was, in fact, in those matters beholden to the

16 14:16:15 likes of Suleiman, Ahmad and Abdulaziz.

17 14:16:19 However, in what you'll see becomes one of the

18 14:16:22 themes of their testimony, he simply indicated that he

19 14:16:26 didn't really understand it and he just signed it

20 14:16:28 because the elders, the partners, directed him to.

21 14:16:32 We respectfully submit that blaming the actions on

22 14:16:38 other AHAB partners -- be they decided or not -- cannot

23 14:16:42 serve to exculpate AHAB from liability.

24 14:16:46 **CHAIRMAN:** What is the value of the evidence given in other

25 14:16:49 proceedings? We will soon hear about Bahrain, Saudi

01 14:16:52 Arabia and the UK.

02 14:16:53 We know this, but what value specifically, and then

03 14:16:58 what is the test? Is that subject to English law, in

04 14:17:02 terms of the evidential value of it, or a different law?

05 14:17:07 **MR EGGERS:** I think the significance of the evidence is

06 14:17:12 a matter that the tribunal is certainly qualified to

07 14:17:15 give the weight it deserves.

08 14:17:17 When it comes to admissions of the parties, we would

09 14:17:20 submit that a party's admission, particularly when it's

10 14:17:24 being tested in cross-examination, in a legitimate court

11 14:17:28 of law, is something that should be given substantial

12 14:17:31 weight.

13 14:17:31 I think the documents themselves that were admitted

14 14:17:34 that respondent was ordered to produce, like any other

15 14:17:37 document, should be afforded the weight that the

16 14:17:39 tribunal believes they are due, based on the provenance

17 14:17:43 of those specific documents.

18 14:17:44 As to the test, we don't think that English law

19 14:17:48 evidentiary rules -- or, for that matter, any forum's

20 14:17:52 evidentiary rules -- be specifically applied, given that

21 14:17:54 this is an international arbitration. We think that by

22 14:17:58 design, the evidentiary standards are looser because

23 14:18:01 there's no danger, for example, of a jury being misled.

24 14:18:03 The tribunal is all well qualified to understand the

25 14:18:07 evidence presented to it.

01 14:18:10 Once the weight has been given to that evidence,

02 14:18:12 however, the burden of proof on the claims and the

03 14:18:16 elements that must be met certainly are to be adjudged

04 14:18:18 under English law.

05 14:18:20 **CHAIRMAN:** That is extremely helpful.

06 14:18:21 Just so we know, whenever you make any reference to

07 14:18:24 "proceedings", you're not arguing any element of

08 14:18:27 res judicata, because that is your position that it is

09 14:18:31 all pure evidence?

10 14:18:33 **MR EGGERS:** Yes, Mr Chairman, absolutely. It is simply

11 14:18:35 offered for evidence, not for a binding determination.

12 14:18:38 **CHAIRMAN:** Thank you.

13 14:18:42 **MR EGGERS:** Here to that point, we have admissions from Saud

14 14:18:45 Algosai, from his testimony on the stand -- and

15 14:18:49 I would note again not that this is a binding finding,

16 14:18:53 but certainly I think there's persuasive value to what

17 14:18:57 the jurists sitting in the room listening to this

18 14:19:00 evidence concluded.

19 14:19:01 But it's fair to say that they did not find the

20 14:19:03 evidence to be truthful at many points.

21 14:19:08 Nevertheless, just accepting it on its face, for

22 14:19:10 what Mr Algosai says, he's asked about the fact that

23 14:19:15 the Money Exchange had substantial borrowings, and that

24 14:19:20 those borrowings were eating up any income that it had.

25 14:19:24 He confirms, yes, we looked at documents that

01 14:19:27 shows that.

02 14:19:28 **He's asked:** don't you think it's strange for

03 14:19:31 a company that has no profits to be paying dividends?

04 14:19:35 **And he first says:** well, I think they do it in many

05 14:19:37 different ways, and he's challenged on that.

06 14:19:40 Then again, he falls back on the elder AHAB partners

07 14:19:44 **saying:** well, it's a continuation of tradition. That's

08 14:19:47 **how it's done. He says:** I didn't regard it as strange

09 14:19:50 or not. It was just the practice. It was my uncle's

10 14:19:54 call. Before that, it was my father's call, so I just

11 14:19:57 followed what they did.

12 14:19:58 This again comes back to our point that even if you

13 14:20:01 were to accept the case that they put on, what they're

14 14:20:04 essentially telling you is that we were negligent in the

15 14:20:08 operations of our own business. We didn't care what was

16 14:20:11 going on. We just wanted the money.

17 14:20:14 We think this is reaffirmed by Yousef Algosai.

18 14:20:17 Again, he was asked, "Isn't the Money Exchange giving

19 14:20:21 its income or part of it to AHAB by declaring

20 14:20:24 dividends?" Yes. What was it going to be left with to

21 14:20:27 pay its borrowings? And he simply says, "I don't know."

22 14:20:32 That, we say, is an odd posture for one of the

23 14:20:36 principals with an interest in the company.

24 14:20:43 What we thought, despite the attempts to place this

25 14:20:47 all on the elder partners, is that they actually

01 14:20:50 continued this process that was put in place at first by

02 14:20:53 Abdulaziz for a long, long period of time until the

03 14:20:58 fraud collapsed.

04 14:20:59 Each year you'll see that they issued these

05 14:21:02 resolutions to continue the accounting practices that

06 14:21:06 were put in place the prior year and to produce in the

07 14:21:09 English language what they refer to as the budget in the

08 14:21:13 same method as the prior year.

09 14:21:16 And these resolutions form the basis for their

10 14:21:19 auditors going along with this programme.

11 14:21:22 And they did this year after year after year. You

12 14:21:26 **see all these resolutions that say:**

13 14:21:29 "Please adjust the books in the way that we've done

14 14:21:32 in the past, and also we authorise you to pay out

15 14:21:36 dividends."

16 14:21:38 That is in a context of a Money Exchange that has

17 14:21:41 no profits. And this happened all the way up and until

18 14:21:45 the year 2008.

19 14:21:48 This is, again, from their own annex summarising

20 14:21:52 what they believe is relevant testimony.

21 14:21:54 **What you see here is Saud Alghosbi asking:**

22 14:21:59 "You signed this resolution every year. What do you

23 14:22:03 mean you didn't know what it meant? Weren't you

24 14:22:05 curious?"

25 14:22:06 At first his answer is a little difficult to follow,

01 14:22:12 **but then he again says:**

02 14:22:14 "Well, it's just something my father did in his

03 14:22:17 design and way of doing things. My key concern was to

04 14:22:19 follow his footsteps. We sign. We get dividends. We

05 14:22:23 sign it. We get the money."

06 14:22:24 Again, in discussing the further resolutions, they

07 14:22:31 say that it was in fact signed by Suleiman, Yousef and

08 14:22:37 Saud and Mr Al Sanea. Saud didn't recall signing it.

09 14:22:42 **However, he again says:** if I did, it was just to get

10 14:22:44 the money.

11 14:22:46 **Again, with respect to a 2004 resolution:**

12 14:22:50 "I have to sign, otherwise the dividends will not

13 14:22:53 be paid."

14 14:22:54 **He says:**

15 14:22:55 "Here we have the chief accountant [and that's

16 14:22:57 AHAB's chief accountant], third floor, head office, Omar

17 14:23:00 Saad involved. We have Badr" --

18 14:23:03 Sorry. I apologise. Mr Badr is the one I was

19 14:23:06 referring to. He's their financial adviser at the head

20 14:23:09 **office who is involved:**

21 14:23:11 "We have uncle. One of the principals there, so

22 14:23:13 many times over the chief accountants want to get this

23 14:23:16 released and get it done."

24 14:23:21 Unsurprisingly, this factored to a great degree in

25 14:23:25 the Cayman Islands court decisions where they explain in

01	14:23:28	much more detail than we have time here, exactly the
02	14:23:32	nature of the accounting adjustments, the capitalisation
03	14:23:34	of interest and why this was fraudulent.
04	14:23:37	I'm not going to belabour the point on the slides.
05	14:23:41	We have them here simply to underscore that these
06	14:23:47	practices were intentionally designed to mislead third
07	14:23:49	parties at the same time that they were sucking profits
08	14:23:53	out of the company to their own benefit.
09	14:23:56	This discusses the English language silo for the
10	14:23:59	financial decision which is a pure construct where they
11	14:24:03	English statements, or the audit statements meant to
12	14:24:17	privately inform them of what as really going on were
13	14:24:20	still prepared each year by their accountants,
14	14:24:22	El Ayouty.
15	14:24:26	El Ayouty ultimately was a willing participant in
16	14:24:29	this, but at least in the early day I think this was not
17	14:24:32	without protest, and this I believe is one of the
18	14:24:34	exhibits that was just added to be disclosed several
19	14:24:38	weeks ago.
20	14:24:39	It's already from them in 1994 to Abdulaziz and he's
21	14:24:45	saying: I express my deep discomfort about the
22	14:24:47	situation. I hope it's not going to become
23	14:24:49	a catastrophe.
24	14:24:52	It, in fact, as we know, in 2009, does become
25	14:24:56	a catastrophe.

01 14:24:57 **He says:**

02 14:24:57 "I was personally astonished in your attitude

03 14:25:01 towards Mr Al Sanea and when he was asking you to

04 14:25:04 discuss, I was accusing him.

05 14:25:08 In conclusion, please advise what you want out of

06 14:25:10 this. It must be presented to all partners so they can

07 14:25:13 act accordingly."

08 14:25:15 That, of course, was not done -- at least acting

09 14:25:18 accordingly was not done.

10 14:25:22 Again, we have the Cayman Islands court explaining,

11 14:25:25 contextualising all of this evidence and noting that the

12 14:25:31 correspondence between El Ayouty and Abdulaziz was found

13 14:25:34 in the possession of Saud Algosaiibi.

14 14:25:39 We also have them underscoring that Abdulaziz,

15 14:25:42 speaking on behalf of El Ayoury, did some false

16 14:25:45 accounting practices and we have them underscoring the

17 14:25:52 partners knew that the Money Exchange was making

18 14:25:54 representations to third parties about the false

19 14:25:58 statements of their accountants in the year 2003.

20 14:26:02 With that, I'm going to turn things over to my

21 14:26:04 colleague Mr Heitzmann who's going to discuss some of

22 14:26:08 the relationship between the Money Exchange actors and

23 14:26:12 AHAB's partnership and its actors as well as Kuwait

24 14:26:16 Finance House.

01 14:26:18 Opening submissions by MR HEITZMANN

02 14:26:20 **MR HEITZMANN:** To the point, Mr President and members of the

03 14:26:22 tribunal, I'm going to start with the point of which is

04 14:26:25 on the screen, which is the joint engagement of the AHAB

05 14:26:30 partners and the employees of the work subdivision, the

06 14:26:34 Money Exchange, and we're going to start with Mark

07 14:26:37 Hayley, who is the defined as a key witness in the

08 14:26:41 Cayman proceedings.

09 14:26:43 He's the general manager of the Money Exchange and

10 14:26:46 you see on the screen, his witness statement since 1998,

11 14:26:51 he starts working there and until the very end, and he's

12 14:26:56 still there from the end and he's trying to explain in

13 14:26:58 his witness statement that the Money Exchange is working

14 14:27:02 independently of the rest of AHAB.

15 14:27:04 Then when you go to the paragraph 119 of his witness

16 14:27:08 statement, he explains that actually, he goes to see

17 14:27:11 Mr Badr on the third floor which is working on the

18 14:27:15 AHAB's back office he says to basically glean

19 14:27:21 information about the business initiatives and practices

20 14:27:24 under consideration by Mr Hayley. They are also other

21 14:27:29 points to visit the third floor other reasons.

22 14:27:33 We're going to talk about that, but just when talk

23 14:27:36 about Mr Badr, Mr Hines mentioned his name earlier.

24 14:27:41 Mr Mark Hayley actually explains who he is in his

25 14:27:45 witness statement. It's paragraph 117, and he says he

01 14:27:51 has been described as the deputy financial manager of
02 14:27:54 AHAB the property division manager, the investment
03 14:27:57 division which is part of the financial adviser and
04 14:28:00 **financial consultant:**
05 14:28:00 "In the end that by virtue of these roles, he acted
06 14:28:04 as a conduit through which the Money Exchange obtained
07 14:28:08 information requested by the banks from AHAB's head
08 14:28:11 office in relation to the following."

09 14:28:13 So he's really at the third floor of AHAB in the
10 14:28:16 same building where Mark Hayley is situated, and he's
11 14:28:23 gathering the information on business activities,
12 14:28:30 performance of AHAB's subsidiaries and all affiliates --
13 14:28:34 I'm quoting again 117 of the witness statement of
14 14:28:39 Mr Hayley.
15 14:28:42 He's providing information required by the Money
16 14:28:44 Exchange to produce its consolidated financial
17 14:28:47 statements and information requested by the Money
18 14:28:50 Exchange by the ratings agencies and obtaining the
19 14:28:54 signatures of the AHAB partners on facility
20 14:28:57 documentation relating to the financial businesses.

21 14:29:01 So there is coordination between AHAB partners
22 14:29:08 through Mr Badr at least also another person and the
23 14:29:13 other signatory actually of the amendment letter,
24 14:29:15 Mr Jamjoum, and we're going to talk about him a bit
25 14:29:20 later.

01 14:29:20 He's working with the Money Exchange, but he has
02 14:29:23 also access to the AHAB personnel and that's also in the
03 14:29:27 witness statement of Mr Hayley at paragraph 114.

04 14:29:32 So I was mentioning Mr Hayley's visit to the third

05 14:29:37 floor and telling you that there are also other reasons,

06 14:29:42 because sometimes banks actually visit AHAB. They want

07 14:29:46 actually to meet AHAB partners and what is going to do,

08 14:29:51 he's going to coordinate meetings with the banks and

09 14:29:53 Mr Saud Algosaibi, the son of Mr Abdulaziz, one of the

10 14:30:00 founding partners.

11 14:30:01 So that's one example. That's one of the few

12 14:30:05 exhibits that we were recently receiving from AHAB

13 14:30:10 following the tribunal's orders.

14 14:30:14 **He's writing to Mr Al Sanea:**

15 14:30:15 "You may remember that I had asked for an

16 14:30:18 appointment to see Mr Saud Sanea. I am not able to find

17 14:30:21 where this has been confirmed. Please make the

18 14:30:21 arrangement for that to be made."

19 14:30:25 And so forth.

20 14:30:27 You can see at the bottom we provide other examples

21 14:30:30 of these visits. On the next slide, you see actually

22 14:30:33 the visitors scheduled, the actual attendance list, and

23 14:30:38 again other examples at the bottom.

24 14:30:42 So you can see all this is happening with Mark

25 14:30:46 Hayley, Mr Saud Algosabi coordinating visits with the

01 14:30:49 banks, the banks representatives, they want to see AHAB,
02 14:30:52 the face of AHAB.
03 14:30:53 They want to see the Pepsi Cola factory. It's
04 14:30:56 a cash money -- cash making asset for AHAB and they want
05 14:31:02 to understand.

06 14:31:02 So as we see on the next slide, Mr Hayley, who's one
07 14:31:09 of the key witnesses of AHAB in the case, he is there
08 14:31:14 until the claimant leaves, and he continues to work
09 14:31:17 throughout until 2016 with AHAB for the proceedings, the
10 14:31:23 Money Exchange of course is shutdown in 2009, but he's
11 14:31:27 continuing and he will testify in 2016 in the Cayman
12 14:31:31 proceedings on AHAB's side.

13 14:31:34 Now, all this is only the tip of the iceberg. We
14 14:31:37 will see other examples of what happens to the joint
15 14:31:41 engagement of the AHAB partners with the Money Exchange,
16 14:31:47 in particular in the late months of the life of the
17 14:31:52 Money Exchange in early 2009, we will see a lot of
18 14:31:55 activity involving the partners, including Dawood,
19 14:31:58 signing many bank of China documents to indicate that
20 14:32:00 they will be confirming the authenticity of the bank
21 14:32:02 documentation.

22 14:32:05 Now, we are going to talk about the engagement with
23 14:32:08 KFH, and here on the screen you see an internal
24 14:32:12 memorandum translated from Arabic, that is in
25 14:32:16 March 2008, where actually KFH mentions when

01 14:32:22 recommending to extend the \$70 million Murabaha
02 14:32:28 agreement facility that it is important to highlight the
03 14:32:31 longstanding relationship between the bank KFH and
04 14:32:36 Algosaibi which has spanned 13 years with over
05 14:32:39 24 Murabaha transactions renewed every six months.
06 14:32:47 15 years will go back to 1993.
07 14:32:49 We have actually an exhibit on the record which is
08 14:32:51 C-076, which is document of the first Murabaha
09 14:32:55 agreements where AHAB is a guarantor.
10 14:33:04 Now, we see also that KFH's relationship is also
11 14:33:12 with the AHAB partners. KFH is not dealing only with
12 14:33:15 Mark Hayley and the Money Exchange employees.
13 14:33:18 They receive actual letters from AHAB's partners
14 14:33:22 Money Exchange and this is an example where Suleiman and
15 14:33:27 Saud Algosaibi in 2003 informed KFH about the exchanges
16 14:33:32 in the management of the Money Exchange following the
17 14:33:35 death of Abdulaziz.
18 14:33:37 You can see we provide many other examples of
19 14:33:40 employers to Money Exchange co-signed by Suleiman and
20 14:33:45 Saud, but this one is written to KFH a few months later
21 14:33:50 you still have them from Mr Suleiman also about the
22 14:33:58 changes to the Algosaibi partnership and board of the
23 14:34:02 Money Exchange.
24 14:34:03 So obviously the AHAB partners know that's who is
25 14:34:07 managing the Money Exchange, and they actually

-
- 01 14:34:11 communicate about that.
- 02 14:34:14 Now, you will recall that in the Cayman proceedings,
- 03 14:34:18 there was a change in AHAB's argumentation following the
- 04 14:34:24 discovery of the N files and they started changing their
- 05 14:34:28 case from everything is forged to now only the
- 06 14:34:34 facilities that increased the \$2 billion debt after 2000
- 07 14:34:39 were potentially forged.
- 08 14:34:41 So there was a lot of discussion about that in the
- 09 14:34:46 Cayman proceedings. There were findings that actually
- 10 14:34:49 this was not supported by the documentation.
- 11 14:34:52 Here you have exhibit C-171, which is AHAB's
- 12 14:34:58 spreadsheet of lending relationship which was provided
- 13 14:35:00 by KFH when the old KFH facilities were increased, but
- 14 14:35:09 not alleged to be forged in the Cayman proceedings
- 15 14:35:13 (2.35 pm)
- 16 14:35:16 (The hearing adjourned until 9.30 am on the following day)
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